country. Policy rate cuts by the RBI and improving business sentiments could also support a revival in investments.

In what follows, the recent trends in various components of investment are discussed to understand the decline in overall investment rate.

To *summarise*, overall investment would have slowed further were it not for non-productive investment such as in valuables. Particularly worrisome is the sharp slowing of corporate investment, which is the source of future supply (needed to quell inflation) and of future growth potential. Policies to remove investment bottlenecks as well as structural reforms to encourage productive investment and its financing are essential, as is more accommodative monetary policy, as inflation abates.

Net Exports

Growth in net exports can be an important source of demand. Unfortunately for India, net exports growth has been low because of global weakness. The *World Economic Outlook* (WEO) Update released by the IMF in **January 2013** put the rate of growth of world output at 3.9 per cent in 2011 and 3.2 per cent in 2012, down from 5.1 per cent in 2010. For the advanced economies, the growth rate was much lower at 3 per cent, 1.6 per cent, and 1.3 per cent for 2010, 2011 and 2012 respectively. The growth rate in the faster growing emerging economies also fell over this period.As a result of weak growth in trading partner countries, Indian exports also declined. In the first half of FY 2012-13 (April-September 2012), there was a steep decline in exports while imports did not decline as much in percentage point terms. *Inelastic oil imports* were the primary reason for the relatively smaller decline of imports. But gold imports, which have surged in recent years on the back of higher perceived returns on gold holdings, contributed significantly to imports, even though they declined in value over the previous year. As a result of the widening of the trade deficit and moderation in net invisibles surplus, the CAD worsened to 4.6 per cent of GDP during H1 of 2012-13 as compared to 4.0 per cent of GDP in H1 of 2011-12[*].